

Shriram Finance Ltd

Financials | Consumer Finance | Large Cap | <https://www.shriramfinance.in/>

Company Overview

Business Overview Shriram Transport Finance Company Ltd is a part of the SHRIRAM Group conglomerate which has a significant presence in the financing business. STFC is engaged in t

Financial Snapshot

Market Cap	■868,933 Cr	ROE	15.9%	Revenue CAGR	18.6%
P/E	68.53	ROCE	11.3%	PAT CAGR	23.5%
P/B	7.91	Net Margin	20.3%	EPS CAGR	14.3%
EV/EBITDA	28.82	Operating Margin	28.9%	Quality Score	70.00
Dividend Yield	1.9%	Debt / Equity	3.99	Interest Coverage	0.68
Asset Turnover	0.15	EPS	■39.00	Book Value	N/A

Investment Strengths

- Strong profit margins support healthy earnings.
- High operating margin reflects operational efficiency.
- Revenue has grown consistently over five years.
- Profit growth has remained consistently strong.
- Healthy dividend yield rewards shareholders.

Investment Risks

- High debt increases financial risk.
- Poor interest coverage raises repayment concerns.
- Negative free cash flow may constrain future growth.

Cash Flow Intelligence

Operational Weakness

Negative operating cash flow indicates weak core business performance.

Heavy Borrowing

Business depends on external financing instead of operations.

Cash Burn

Negative operating and net cash flow indicate sustained cash burn.

Capital Allocation

Latest Pattern: Growth Funded by Debt

Pattern History

Year	Pattern
2013	Growth Funded by Debt
2014	Growth Funded by Debt
2015	Growth Funded by Debt
2016	Growth Funded by Debt
2017	Growth Funded by Debt
2018	Distress Signal
2019	Growth Funded by Debt
2020	Growth Funded by Debt
2021	Growth Funded by Debt
2022	Growth Funded by Debt
2023	Distress Signal
2024	Growth Funded by Debt

Pattern Change Summary

Changed	No
From	Growth Funded by Debt
To	Growth Funded by Debt